

Asia week ahead: China and India release highly anticipated inflation data

The highlights of the week will be inflation reports from China and India as global markets assess fallout from the Middle East. China will also release key trade data



Asia Research highlights of the week

[Japan's real wages rose in March, boosting odds of a June hike](#)

[South Korea's steps to limit inflation increases paying off — so far](#)

[First-quarter GDP miss in the Philippines signals weaker 2026 outlook](#)

[Sharp CPI overshoot raises risk of more aggressive rate moves in the Philippines](#)

[Reserve Bank of Australia delivers decisive hike, signals balanced path ahead](#)

India: Modest rise in inflation expected

India's inflation is expected to accelerate, but the increase should be modest. Retail gasoline prices are still capped, and core inflation remains contained. Instead, the main driver will be the second round effects of higher oil prices on food inflation.

China: Growth in trade expected, while inflation to remain modest

China's trade data is scheduled for release on Saturday. We expect export growth of around 6.5% and imports to increase by 20.4%, resulting in a trade surplus of \$71.6bn. We expect a slight boost in year-on-year trade with the US. Last April marked the escalation of the Liberation Day tariffs and the US-China trade war. Markets will watch whether the data better reflects the impact of higher energy prices. On Monday, China releases its inflation data. We expect the CPI to stay unchanged at 1.0% YoY and PPI to accelerate further to 1.9% YoY.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Saturday 9 May				
China		- Apr Exports (YoY%)	6,5	2,5
		- Apr Imports (YoY%)	20,4	27,8
		- Apr Trade Balance (USD Bn)	71,6	51,1
Monday 11 May				
China	0930	Apr CPI (YoY%)	1	1
	0930	Apr PPI (YoY%)	1,9	0,5
Indonesia	1100	Apr Consumer Confidence Index	-	122,9
Tuesday 12 May				
Japan	0730	Mar All Household Spending (MoM%/YoY%)	-/-	1.5/-1.8
China		- Vehicle Sale (YoY%)	-	-0,6
India	1830	Apr CPI Inflation (MoM%/YoY%)	-3.8	0.3/3.4
Indonesia	1100	Mar Retail Sales (YoY%)	-	6,5
Wednesday 13 May				
South Korea	0700	Apr Unemployment Rate	2,6	2,7
Thursday 14 May				
India	1430	Apr WPI Inflation (YoY%)	-	3,9
Friday 15 May				
China	0500	Q1 Current Account (USD bn)	-	243,8
Japan	0750	Apr PPI (MoM%/YoY%)	-/-	0.8/2.6
India	1930	Apr Imports (YoY%)	-	-6,5
	1930	Apr Exports (YoY%)	-	-7,4

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Rates Spark: Euro rates and the war

While some ECB officials have been trying to retain flexibility on the next policy move, it remains conditioned on Iran. The Bundesbank's Nagel and Austria's Kocher suggest a hike remains on the table unless there is a marked improvement, continuing to tie the front-end discount to the price of oil. Our view on the war standoff is unchanged – it's [here](#)



The next move by the European Central Bank remains conditioned on the Middle East conflict and oil prices

Rates could fall slower than growing optimism suggests

Brent oil prices have been settling more clearly below the US\$100/bbl threshold in anticipation of a deal that also reopens the Strait of Hormuz. However, our commodities strategists do not see that much room for further significant drops in the oil price even if the Strait were to reopen soon.

First off, one would need to assess the infrastructure damage incurred during the height of the conflict. More importantly, economies have been drawing heavily on reserves over the past months, which will need to be restocked. This implies higher-than-normal demand for now as supply lines reopen.

If oil prices have limited room to drop, that also means inflationary pressures will remain in place and not vanish all of a sudden. Greater certainty on the outlook may provide central banks with some leeway to look through the near-term rise in inflation prints that is still to come. However, communication is unlikely to shift to an outright dovish stance, as officials will want to assess how still elevated prices continue to filter through the broader economy.

For markets, this means an elevation of rates and central bank discounts that should only be pared more gradually. At least relative to what markets are liable to display amid a first euphoria around an emerging deal. And keep in mind, re-escalation risks are also not entirely off the table just yet.

Friday's events and market view

The US jobs report on Friday might be one of the few data releases that can take the attention off the Middle East situation, even if only briefly. Expectations are for a payrolls increase of 65k, close to the 3m rolling average versus last month's 178k. The unemployment rate is expected to stay at 4.3%. The other US release of note today is the preliminary University of Michigan consumer confidence index, which tends to move more closely – and inversely – with inflation expectations. The European morning will see industrial production data from Germany and Spain.

Away from the data, central bank speakers will have a chance to steer expectations as markets eye the possibility of a deal in the Middle East. From the ECB, Lagarde, de Guindos and Schnabel are scheduled to speak. From the BoE, Governor Bailey and Breeden will speak while the Fed only sees a scheduled speech from Cook – on tokenisation, though.

The gilts market will look at the results of Thursday's local elections that should become available throughout the day.

In ratings, Fitch has reviews of Cyprus, Greece and Slovakia on schedule. DBRS has Germany up for review.

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CNB review: Governor signals wait-and-see mode but tone turns dovish

The Czech National Bank has voted unanimously to leave rates unchanged at 3.50%, while keeping its options between a hold and a hike open. Despite a higher inflation path, the board stressed patience amid softer growth and tight conditions. The press conference struck a dovish tone, suggesting rates may remain unchanged for longer



The Czech National Bank opted to keep rates on hold today while keeping its options open moving forward

3.50%

CNB key rate

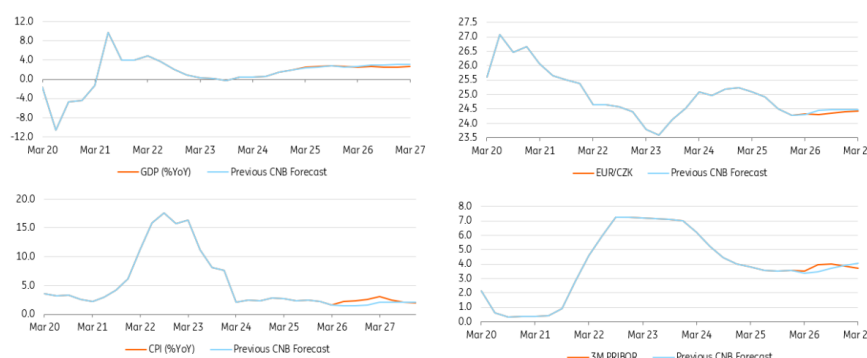
No change

As expected

CNB holds rates unanimously at 3.50%, remains open to a hike amid rising inflation

The Czech National Bank, as expected, left rates unchanged at 3.50% today. All seven members of the bank board voted for this decision. According to Governor Aleš Michl, there was no discussion of a rate hike today; the bank board is keeping its options open for the next meeting, however, where the decision will be between keeping rates unchanged and a rate hike. This could sound relatively hawkish overall in the context of rising inflation.

CNB new forecast vs February



Source: CNB, Macrobond

Higher inflation forecast but weaker growth outlook tilt the balance toward patience

Added to this is the new CNB forecast, which sees higher inflation peaking in the first quarter of 2027 and reaching 3.1% on average. However, this is still close to the upper edge of the CNB's tolerance band, and the governor therefore does not want to rush into reacting.

At the same time, May and June should bring some easing in headline inflation, according to the CNB forecast. A revision of the GDP forecast for the domestic economy from 2.9% to 2.5% (2.2% in ING's forecast) also suggests waiting. It should be noted that the CNB forecast expected a stronger 1Q26 GDP reading (2.1% vs 2.5%). This moves us in a somewhat dovish direction.

Governor defends hold decision with dovish arguments despite model implying tighter policy

The most interesting development, however, was the tone of the press conference, where journalists' questions focused on why the CNB is not hiking rates now if the new forecast implies that it should. The governor, in turn, found himself defending today's CNB decision, laying out several dovish arguments. The board had several alternative scenarios available, including one showing a recession and the need to cut rates.

At the same time, Michl argued for relatively tighter monetary policy than that of other central banks, such as the European Central Bank. This suggests that the CNB would not hike rates even if the ECB hiked – but also that the board already sees current conditions as tight. This was confirmed by the governor, who repeated several times that the entry conditions for the Czech

economy in the current "supply shock" are good and the CNB can afford to wait.

Slightly dovish tone suggests prolonged pause, though upside inflation risks remain

Overall, the press conference brought a somewhat dovish tone compared to market pricing, in our view. At the same time, we can't rule out that the tone may not change if inflation continues to trend upwards. Clearly, the board's focus is not just on headline inflation but also on core inflation, which is heading towards 3%.

Still, it remains difficult to see the CNB hiking rates with headline inflation close to target. Our baseline is for rates to be kept unchanged for an extended period, but we see inflation slightly higher in our forecast than the CNB, which will test the board's resolve as we look further ahead.

Our market view

The CNB's May meeting comes at a time of global market relief, even though the end of the US-Iran conflict remains unclear and energy prices remain elevated despite some calming. The CNB understandably has no reason to rush with inflation not far from target and weaker economic data in 1Q26. The Czech koruna has seen some gains in recent days as part of the global rally and reached pre-conflict levels – all the more reason for the CNB not to rush to hike rates. At the same time, it's difficult to find reasons for further strengthening of FX. Instead, we expect EUR/CZK stability as a baseline until the extent of the impact of the US-Iran conflict on the economy, inflation, and the current account becomes clear.

Rates, on the other hand, maintain relatively hawkish pricing, with 63bp of hikes in the one-year horizon. This is a decrease from almost 90bp a few days ago. At the same time, the CZK market remains the most hawkish within the CEE region and/or the ECB. Given the solid returns at the short end of the curve, an official end to the conflict would likely lead to a decline in short-term rates, resulting in a steepening of the curve. Further out, we expect the curve to flatten again, as the CNB is unlikely to cut rates over the next two years, putting more pressure on the economy than in other CEE countries.

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Poland's central bank president: Inflation on target, but rate hike risks have risen

The National Bank of Poland's Monetary Policy Council has turned slightly more hawkish while remaining in wait-and-see mode. A rate hike would depend on how long inflation stays above 3.5% and whether forecasts point back to the NBP's target. CPI risks look balanced, but the odds of a hike have risen



National Bank of Poland Governor Adam Glapinski

Decision background

At the May press conference, the President of the National Bank of Poland, Adam Glapinski, stated that inflation in Poland remains consistent with the inflation target and within the permissible deviation band of 2.5% +/- one percentage point. As a result, the Monetary Policy Council left interest rates unchanged.

According to the NBP, the recent rise in inflation reflects higher fuel prices driven by the conflict in the Middle East. Global crude oil prices remain elevated (above US\$100/bbl), representing a pure supply-side shock that will push inflation higher in the coming months.

Energy shock less severe than in 2021–22

The overall assessment of the CPI backdrop seems balanced, similar to last month. President Glapinski reiterated that the current energy shock is significantly lower in magnitude than in 2021–22, particularly in the gas market. Coal prices are also rising only modestly, helping to stabilise electricity prices, as coal is used in Poland to generate electricity.

In the NBP's assessment, inflation is unlikely to reach levels seen during the previous shock. Agricultural commodity prices are lower than a year ago, supply chains outside of energy remain undisrupted, and the zloty is stable. The supply shock is not accompanied by excessive demand. GDP growth likely slowed in the first quarter compared with the fourth. Labour market conditions are less tight than in previous years, with business wages growing at the slowest pace in five years in the first quarter, while employment in the enterprise sector continues to decline. Interest rates in Poland and globally are also lower than at the onset of the previous energy crisis.

Glapinski also emphasised that higher energy prices work in two directions: they push inflation higher but also weaken households' purchasing power and weigh on consumption.

The NBP now assesses growth prospects for 2026 as weaker than previously expected, with GDP growth of around 3.5% rather than the roughly 4% projected in March. While higher fuel prices will spill over into other goods and services, monetary policy must consider the medium-term impact on both inflation and economic activity.

Glapinski stressed that the energy shock is not being underestimated by the central bank, and it is closely monitoring economic developments. He noted the rise in core inflation and higher air ticket prices. Elevated uncertainty means the scale and persistence of inflationary pressures cannot yet be assessed precisely.

Monetary policy outlook

Discussing factors shaping future rate decisions, Glapinski pointed to energy prices, regulatory decisions on energy tariffs, and tax measures affecting fuel prices (excise duty and VAT). The key point in the monetary policy guidance is the rising odds of CPI staying above the upper bound. The NBP may react if a +3.5% CPI rate proves persistent and projections push the return to target further out. The July projection will be the key decisive point. The MPC made it clear that it will not hesitate to act if necessary to curb excessive inflation. We find this kind of statement as an attempt to control inflation expectations.

President Glapinski acknowledged that the **probability of an NBP rate hike has increased** since the April MPC meeting. While a **rate increase cannot be ruled out**, the prospect of rate cuts is currently viewed as unlikely. A trigger for tightening would be inflation exceeding the upper bound of the NBP's target range and projections pointing to its persistence over the medium term.

Summary

The MPC remains in wait-and-see mode, closely observing the impact of the unfolding energy shock on the economy while noting higher inflation risks. The press conference signalled greater caution than the post-meeting statement. Although inflation risks have risen, the current shock is still seen as supply-driven and less threatening than in 2019–23.

In our view, NBP rates are likely to remain unchanged in the coming months. A key milestone will be the July macroeconomic projection, which will shape the outlook for inflation and growth. How long inflation stays above 3.5% remains central to the MPC's reaction function. We still think the CPI shock should prove temporary, although recent developments in the Middle East raise the risk of persistently higher oil and gas prices, with still limited pass through to the rest of the CPI basket.

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Norges Bank hikes and keeps guidance hawkish

Norway's central bank surprised markets with a 25bp hike to 4.25% today, stressing that inflation concerns are broader than the war. We now think a hold is more likely in June, but risks remain on the hawkish side, with guidance still pointing to another potential rate increase by year-end. We remain bearish on EUR/NOK for the coming months



Norges Bank Governor
Ida Wolden Bache

A hike on broad inflation concerns

Norges Bank delivered an out-of-consensus 25bp hike to 4.25% today, [in line with our call](#). In the statement, Governor Ida Wolden Bache stressed that “inflation is too high, and there are prospects that inflation will remain elevated ahead”. During the press conference, she reiterated that the rate rise was not only due to the war's impact, again hinting at broader-based inflation pressures, with particular emphasis on elevated wage growth.

That said, there were also some indications that Norges Bank wants to take time to assess the implications for underlying pricing pressures. The overall economic assessment was not materially different from March, when rate projections embedded an average quarterly policy rate of 4.07%

in 2Q and 4.26% in 3Q. In our view, a hold looks more likely at the June meeting unless underlying CPI surprises meaningfully on the upside.

Another hike possible, but that's not our baseline for now

There were no updated rate or economic projections at this meeting, but guidance remained hawkish. The Bank indicated that the March forecasts remain valid, with the policy rate expected to end the year between the current 4.25% and 4.50%.

For now, our forecast doesn't include another rate hike in Norway. This reflects our expectation of relatively contained second-round effects on Norway's core inflation, as well as recent indications that the US and Iran may be getting closer to a deal. That said, this is not a high conviction call: underlying CPI had already shown volatility even before the war, and it is clear that Norges Bank will not hesitate to act.

At the time of writing, markets appear to be pricing in a June hike with some confidence. While some post announcement volatility may be distorting pricing, this still looks somewhat too hawkish for now. Underlying CPI may fail to rise already in April (data out next week), and Norges Bank may require a materially hot May print to justify a June hike. If rates are to be raised again, August looks more likely in our view.

NOK outlook remains solid

NOK entered the meeting with some heavy short-term bearish momentum vs EUR, as yesterday's oil selloff seemed to have triggered some sizeable positioning unwinding. The surprise hike has caused a near 0.7% drop in EUR/NOK, with markets seemingly leaning hawkish for future meetings, expecting at least another rate hike this year.

The krone has been one of our favourite currencies of late, also due to our hawkish call on Norges Bank. While a potential reopening of the Strait of Hormuz may cause new oil drops and EUR/NOK bounces, we think it will take a long time for energy prices to return to pre-war levels, leaving NOK structurally more attractive than EUR. Especially so in an environment of strong global risk asset performance and a wide rate advantage for NOK.

We continue to expect a break below 10.80 in EUR/NOK by this summer, and downside risks relative to our year-end target of 10.70.

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Hungary's economic momentum regains strength, but risks remain

The March data in Hungary brought positive vibes, with both industry and retail delivering upside surprises, even if several one off factors were also at play. As a result, while we may not be the loudest cheerleaders for Team Hungary, the improvement is real and the mood has clearly turned brighter



The Hungarian economy seems to have returned to a more favourable trajectory

The Hungarian Central Statistical Office has released March data on retail sales and industrial production, following the publication of first-quarter GDP growth. Even against this backdrop, the latest figures still managed to raise eyebrows – this time in a clearly positive way. While we argued a month ago that Hungary's positive economic momentum had faded, the March data suggests that February was more likely an outlier and that the economy has returned to a more favourable trajectory.

Broad-based recovery in Hungarian industry in March

3.7%

Industrial production (YoY, wda)

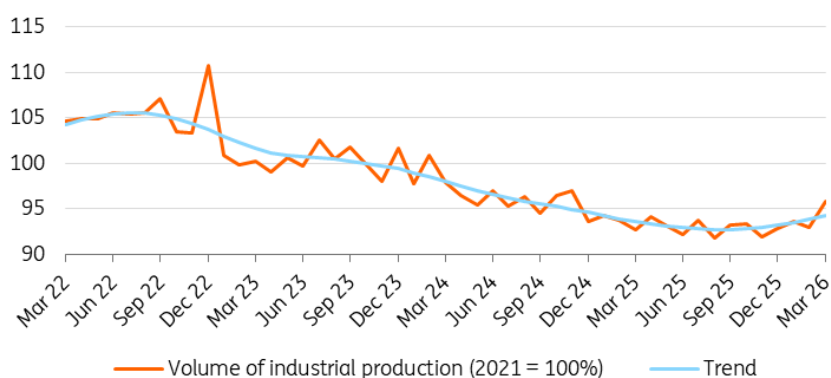
ING estimate: 2.9% / Previous: -1.5%

Better than expected

After a weak February, Hungarian industry found its footing again and managed to post meaningful growth in March. What's more, the latest data delivered one of the most positive surprises seen in recent years. The strong March performance had already been signalled by the first-quarter GDP release, in which the HCSO highlighted industry as a positive contributor to overall economic growth.

In numerical terms, industrial output increased sharply on a monthly basis at 3.1%, while the working-day-adjusted year-on-year index also jumped to 3.7%. As a result, three out of the past four months have now seen growth, which is clearly visible in the fixed-base index as well. Following the trough reached in November 2025, a more sustained upward trend appears to be emerging. That said, industrial output still remains 4.1% below its 2021 average level.

Volume of industrial production

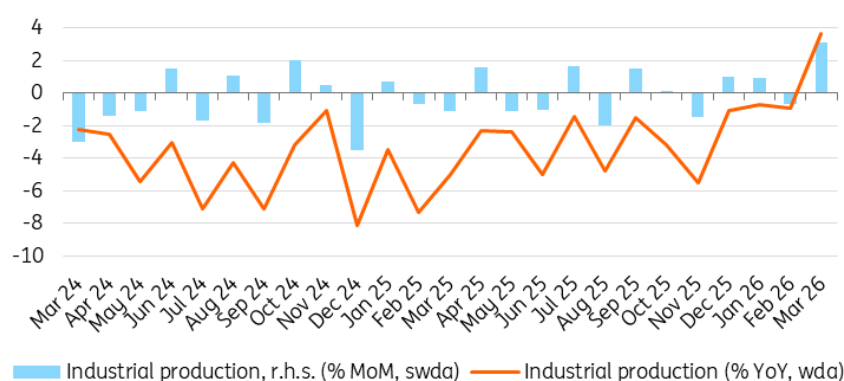


Source: HCSO, ING

How long this positive momentum can be maintained will depend largely on external factors, most notably developments related to the war in the Middle East, the risk of a prolonged blockade of the Strait of Hormuz, and the resulting shocks to energy markets and global supply chains.

As this was a preliminary release, the HCSO provided only limited details. Nevertheless, even the brief commentary points to an important development. Production increased on a year-on-year basis across the majority of manufacturing subsectors. One has to go back quite far in the industrial flash releases to find a similar statement. Crucially, all major-weight subsectors managed to expand.

Performance of Hungarian industry

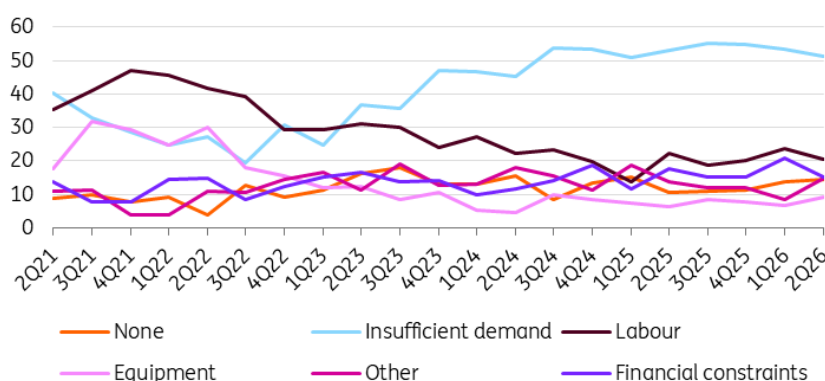


Source: HCSO, ING

Among these, electronics manufacturing once again stood out as a strong performer. This time, however, it was joined by the production of electrical equipment, the food industry and, to a lesser extent, vehicle manufacturing. In other words, the recovery was not driven by a single sector coming back online, but rather reflects a broadly improving trend across manufacturing.

This picture is also consistent with the latest business survey published at the end of April, according to which, capacity utilisation in Hungarian manufacturing rose to 76.9% in the second quarter (seasonally adjusted), its highest level since early 2023. Similarly encouraging is the fact that, over recent quarters, the share of companies citing insufficient demand as a constraint on growth has been gradually but steadily declining. However, we are not out of the woods yet, as roughly every second company still reports demand shortages, leaving ample room for further improvement.

Factors limiting production in Hungarian industry (% of respondents)



Source: Eurostat, ING

Taking all this into account, and assuming that new export capacities coming on stream this year continue to ramp up as expected, there is room for cautious optimism regarding a more durable recovery. Under favourable conditions, the fixed-base index could exceed the monthly average

level of 2021 by the end of this year. As a result, Hungary's industrial output could grow by around 4–5% on average in 2026.

After three years of industrial recession, industry could once again make a positive contribution to the overall performance of the Hungarian economy – provided, of course, that these improving prospects are not derailed by a prolonged disruption in the Strait of Hormuz.

A strong but partly one-off rebound in Hungarian retail sales in March

8.2% Volume of retail sales (YoY, wda)

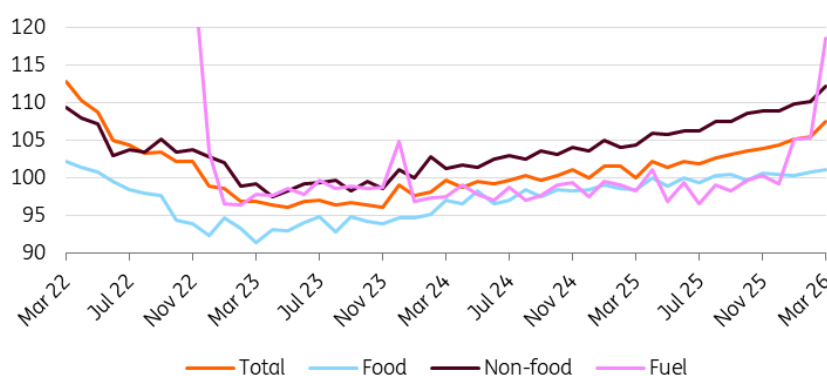
ING estimate: 4.8% / Previous: 3.8%

Better than expected

Just like industrial production, Hungarian retail sales also delivered a much stronger-than-expected performance in March 2026. Retail turnover rose by 1.9% on a month-on-month basis, marking the eighth consecutive month of expansion. In year-on-year terms, the calendar-adjusted increase of 8.2% points to a pace of growth not seen in quite some time.

Looking at longer-term trends, retail sales volumes in March were already 7.6% above their average monthly level in 2021. This suggests that the sector has been expanding on a sustained basis, with the upward trend in place since late 2023. At the same time, performance has gradually started to close in on the peak levels recorded in 2022.

Retail sales volume in detail (2021 = 100%)



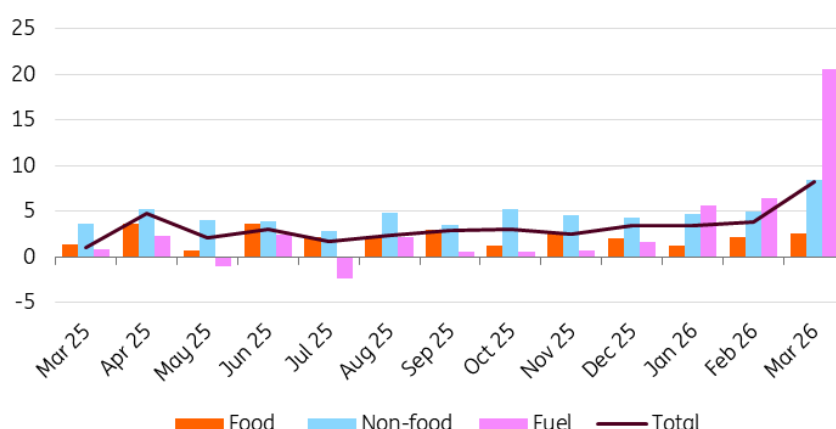
Source: HCSO, ING

A closer look at the breakdown reveals that food retail sales posted only modest growth on a monthly basis. The source of the strong March performance should therefore be sought elsewhere, namely in non-food retail categories. Activity in this segment increased markedly, with turnover showing a strong monthly expansion at 1.9%. Comparable single-month increases were last seen at the turn of 2023–2024.

Online and mail-order retail sales rose sharply, while stores selling IT equipment and other consumer durables also reported an exceptionally strong March. In addition, clothing retailers as well as furniture and electrical goods stores recorded significant increases in turnover. This clear split between food and non-food retail highlights the underlying driver of growth: government transfers paid out to households were largely channelled into consumption, primarily supporting higher-value purchases.

Fuel sales also increased strongly compared to the previous month, which may reflect the impact of regulated fuel prices. Taken together, the composition of growth points to the importance of specific, short-term factors in boosting retail activity in March.

Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

In our view, therefore, the exceptionally strong performance of Hungarian retail sales in March was driven primarily by one-off, temporary effects. As a result, we remain cautious regarding the sustainability of this pace of growth. That said, improving consumer confidence, the still favourable inflation environment and robust wage growth could collectively provide a more durable underpinning for retail sales going forward.

Looking at 2026 as a whole, retail turnover could expand by around 6.0–6.5%, even if monthly dynamics moderate from the March peak. These developments reinforce the idea that consumption is likely to be the main driver of economic growth this year, while the key question for the remainder of 2026 remains whether industry, exports and investment can also move onto a more sustainable recovery path.

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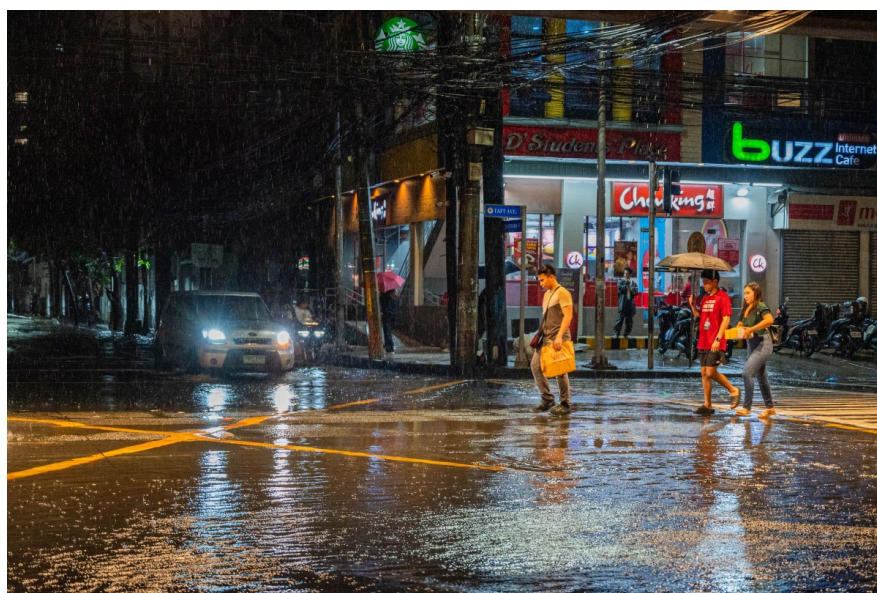
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First-quarter GDP miss in the Philippines signals weaker 2026 outlook

First-quarter GDP growth fell well short of expectations, weighed down by weak consumption, contracting investment, and a drag from net exports despite a modest pickup in government spending. The data reinforce downside risks to the 2026 growth outlook, even as the central bank remains focused on inflation rather than growth support



With first-quarter GDP falling short in the Philippines, policy tightening is likely to continue

1Q GDP misses estimates

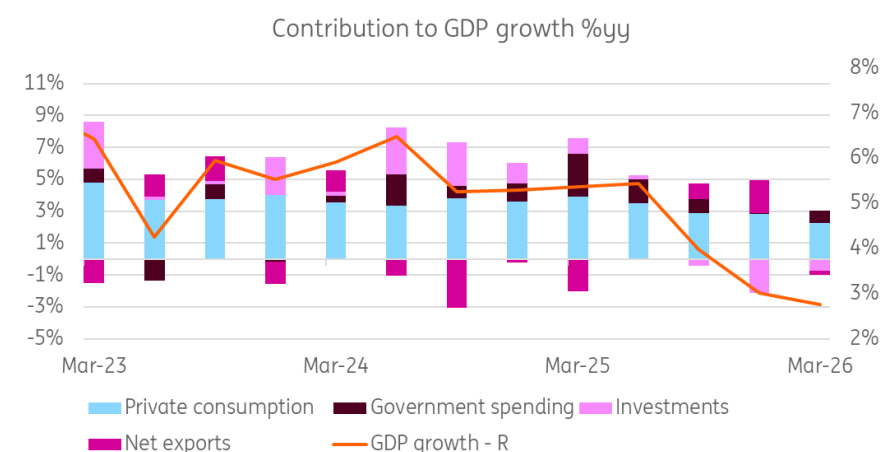
First-quarter GDP growth of 2.8% year-on-year was a significant disappointment, coming in well below both our forecast and consensus expectations of 3.3% year-on-year. Domestic demand remained weak. Private consumption growth slowed to 3% year-on-year, representing not only a further decline relative to the previous quarter, but also the weakest reading since the Covid period. Even at this subdued pace, private consumption accounted for roughly 80% of total GDP growth, underscoring how significantly weaker other growth components were.

Private investment continued to contract on a year-on-year basis, while net exports also shifted to a negative contribution. Goods import growth accelerated to around 7% year-on-year, while goods export growth moderated to 13% year-on-year, resulting in a net drag on growth. Services exports, growing at 3% year-on-year, remained relatively resilient.

Government spending increased by 4.8% year-on-year, up sharply from 0.7% in the previous quarter, contributing 0.8 percentage points to GDP growth. While this points to some nascent signs of recovery, the overall impulse remains modest. Overall, we believe government spending will need to increase more meaningfully for second-round effects on consumption and investment to materialise. Recent data suggests that rising unemployment and sharply elevated inflationary pressures are likely to keep private consumption suppressed, as households boost precautionary savings.

Taken together, today's GDP release points to a much weaker-than-expected growth trajectory for 2026, increasing the downside risks to our already below-consensus GDP growth forecast of 4.5% YoY (consensus 4.8%). We do not believe this weak GDP print will deter the BSP from proceeding with a rate hike in June. The central bank has recently reasserted inflation control as its primary objective, while downplaying the role of monetary policy in cushioning near-term growth risks – particularly as the current slowdown appears largely driven by a deceleration in government spending rather than monetary conditions.

Contribution to Philippines GDP growth



Source: CEIC

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FX Daily: Testing the 'this is it' trade

Optimism about a US-Iran deal, including a reopening of Hormuz, has risen significantly since the start of the week. The dollar has further to fall if a deal is eventually agreed. Elsewhere, GBP faces downside risks from today's UK local elections, and we expect a rare hold in Sweden and an out-of-consensus 25bp hike in Norway this morning



GBP faces downside risks from today's UK local elections

📉 USD: More volatility ahead

It's been a hectic 24 hours for markets. The risk on trade driven by Gulf de escalation triggered a sizeable dollar sell off and rallies in EM currencies yesterday morning, before a partial pullback in the afternoon. Volatility in FX should remain elevated into early next week as markets await the final word on a US Iran deal. Should negotiations drag on without tangible progress, we would expect the USD to reclaim recent losses, even in the absence of any military re escalation.

This morning, FX is showing signs of stabilisation, but higher equities continue to point to optimism around further de escalation. This is reinforced by growing speculation that President Trump wants to wrap up a deal with Iran ahead of the 14-15 summit with Chinese President Xi Jinping. The latest reports suggest Iran is reviewing the US proposal to reopen the Strait of Hormuz, with nuclear talks pushed to a later stage. Trump has again warned of new attacks if a deal is not agreed, but has sounded broadly optimistic and said the war could end within a week. Oil prices are hovering just above \$100/bbl and remain highly volatile.

We have been stressing the increasing relevance of equity markets for dollar crosses, and this remains crucial. For some G10 pairs, including EUR/USD, global equities currently exhibit a higher beta than oil prices. Any major further leg lower in the USD still requires a strong equity session, regardless of oil moves. The strength in risk assets and more balanced positioning suggest that DXY can easily fall back below the 97.50 pre war levels, even if oil prices settle significantly above February levels.

Francesco Pesole

EUR: Eyeing return above 1.180 if deal agreed

The euro performed well against other G10 European currencies yesterday, as markets more convincingly priced out the oil related risk premium. ECB pricing for December dropped by 15bp on the day, but remains relatively aggressive at 60bp. Another round of de escalation could push pricing lower, although there may still be decent support around 50bp for now. Notably, a June hike is no longer a done deal for markets, with pricing down to 16bp. This may reflect some growing speculation that a peace deal would give the ECB more time to assess the inflation implications of the energy shock.

Yesterday's EUR/USD intraday peak came very close to 1.1800, which to us suggests that, should a US Iran deal be finalised in the coming days, a break above 1.1800 would be on the cards. Equity markets would still do most of the heavy lifting in driving EUR/USD, even if short term rate differentials were to re widen in favour of the USD.

Francesco Pesole

GBP: Downside risks from local elections

The UK holds local elections today ([our full preview here](#)), and here's what to watch from a market perspective.

First is the performance of the ruling Labour Party, which is expected to lose a large share of its council seats. Prime Minister Keir Starmer is facing a popularity crisis, alongside growing speculation around a potential leadership challenge. The pound and gilts have reacted negatively in the past to any risk of Starmer's exit (and, by extension, that of Chancellor Rachel Reeves), given markets' association of the current leadership with a degree of fiscal rigour.

Second is the showing of opposition parties. Right wing Reform UK is widely expected to perform well in these elections, but it would probably be a strong result for the left wing Greens that would attract the most market attention. Such an outcome could fuel speculation that Labour may shift towards a more left leaning leadership, potentially reviving concerns around fiscal sustainability.

The key point is that the pound and gilts are currently embedding no visible political risk premium. This leaves scope for potentially significant downside risks, and given the more positive response of the euro to de escalation headlines yesterday, we still see room for EUR/GBP to rally. A move above 0.870 remains our baseline over the coming weeks.

Francesco Pesole

📈 Nordics FX: Hold in Sweden, hike in Norway

Rate announcements are scheduled for 08.30 and 09.00 BST in Sweden and Norway, respectively, this morning. We expect the Riksbank to hold rates at 1.75% and Norges Bank to hike by 25bp to 4.25%.

The Riksbank call ([preview here](#)) fully matches consensus and pricing. Yesterday's 0.8% CPIF print for April suggests the starting point remains very low for inflation in Sweden. The exposure to higher energy prices is also much smaller relative to the eurozone and VAT cuts will offset some spikes.

We were expecting a hawkish tilt in the message, but the latest encouraging news from the Gulf suggests they are more likely to stick to a neutral, wait-and-see approach. Pricing has turned more dovish in the past couple of days and we expect a neutral impact on EUR/SEK, even if our bias remains bearish on the pair.

We are expecting an out-of-consensus 25bp hike in Norway ([preview here](#)). We made that call last week before the latest Gulf news, which has shifted the risks a bit to the dovish side. However, we read last meeting's minutes as a sign that inflation concerns are broad-based, not only war-related, and also a sense of urgency that we suspect markets are underestimating.

Surely, the latest oil drop suggests a lower risk they will keep the door open for more just yet, perhaps delivering a similar hike to the RBA earlier this week. We still favour EUR/NOK downside despite yesterday's positioning squeeze on the oil move. Markets are pricing in 13bp for today, and around 60bp by September. A hike today without hawkish guidance would probably limit how far NOK can rally in the near term. Yesterday, the oil drop probably triggered a meaningful positioning squeeze in NOK, with EUR/NOK rallying above 10.90. Still, we expect a return to 10.80 in the coming months as oil prices should land well above pre-war levels whilst NOK absorbs the strong risk environment in a de-escalation.

Francesco Pesole

➡ CEE: Central banks battling hawkish markets

Today we have two central bank meetings in the CEE region – the National Bank of Poland and the Czech National Bank. In both cases, we expect rates to remain unchanged at 3.75% and 3.50%, in line with expectations, and in both cases, the focus will be on forward guidance, where central banks are trying to avoid rate hikes amid the current energy shock. In both cases, however, core inflation was pushed up in April and policymakers cannot ignore rising headline inflation just because of rising fuel prices.

Yesterday's NBP statement did not say much, but we think there will be a [slightly more hawkish tone from Governor Adam Glapinski](#) today compared to the April meeting. In addition to forward guidance, the CNB will also publish a new forecast that will, without surprise, bring lower economic growth and higher inflation compared to the February forecast. However, the inflation profile should still be within the tolerance band, which [Governor Ales Michl will probably use as an argument for wait-and-see.](#)

Our economists expect rates to remain unchanged for an extended period in both countries. However, the current situation puts inflation profiles under test, especially core inflation, which

rose in both countries in April, and a potential ECB rate hike will keep market pricing hawkish. After yesterday's global relief, the market is pricing in roughly three hikes in the one-year horizon in the Czech Republic and a few bps less in Poland. Today's meetings, together with yesterday's positive sentiment, could again reduce hike bets a bit. Still, we do not expect the market to take back all pricing given the unclear inflation development even if the US-Iran conflict ends today.

The Polish zloty and the Czech koruna saw some rally yesterday as part of the global relief and almost returned to pre-conflict levels. Given the expected pressure on the current account and GDP growth in the region, we cannot expect to see more gains here. We therefore see upside for EUR/PLN and EUR/CZK from current levels if central banks surprise on the dovish side.

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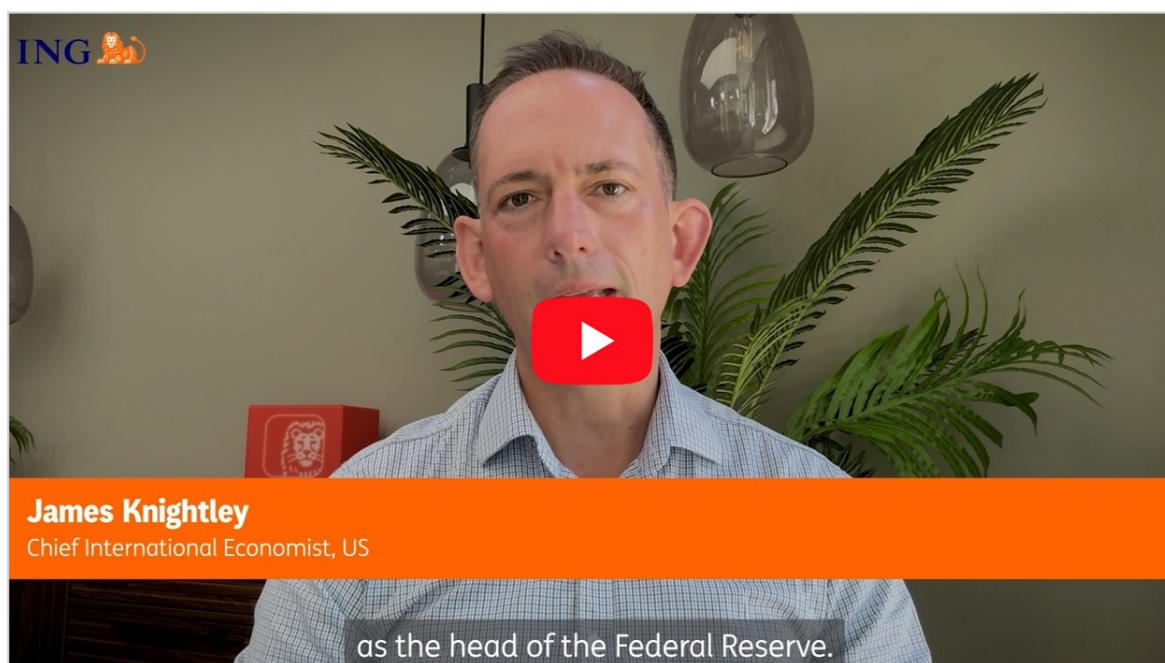
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Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley



How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

[Watch video](#)

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer



At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook



UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

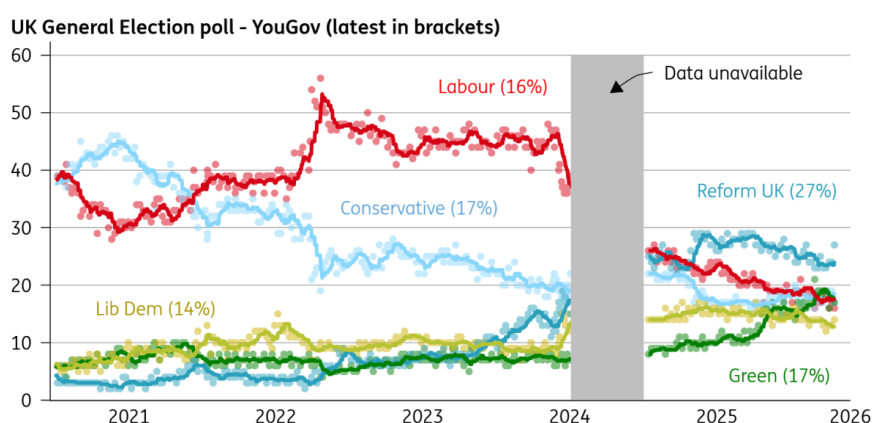
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some [predictions](#).

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

Solid line is the one month moving average

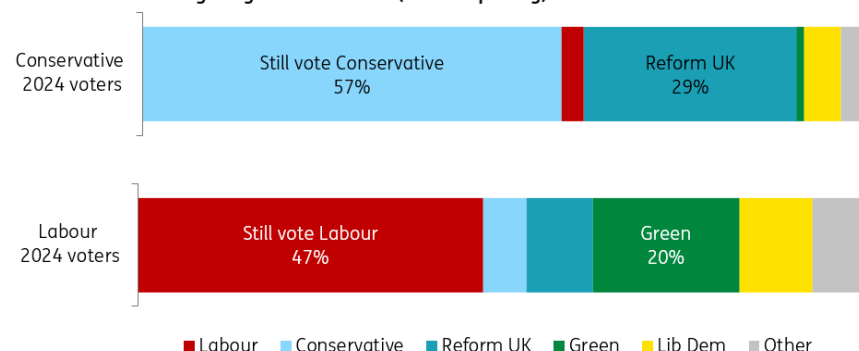
Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral Calculus in [January](#) and [April](#) of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green

Who 2024 voters say they'll vote for now (YouGov polling)



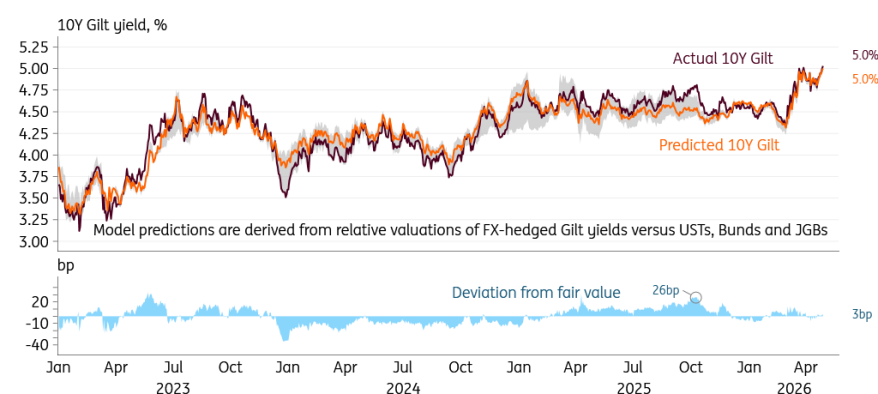
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: ING, Macrobond

Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 “mini budget”, which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter

of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR [fails to account](#) for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A [recent speech](#) by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling

bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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